

few companies in the 1960s and 1970s, he would not be wealthy today. Is this the way to do it? There are hundreds of thousands of would-be Warren Buffetts who were not so fortunate. Perhaps many of those people did have skill, but they got unlucky and their money ran out before their investments worked out. We will never know who they are.

If you admit that you do not have Warren Buffett's skill, then your investment strategy should be different. Don't try to win big with big bets on a few investments. Instead select an appropriate asset allocation and use low-cost index funds and ETFs to represent the markets you are investing in. Warren Buffett has publicly stated many times that index funds are the best way for most individuals to own common stocks. Believe him.

A GREAT BUT BORING SOLUTION

Creating a workable asset allocation based on your needs and implementing your plan with low-cost index funds and ETFs provide an easy-to-understand, easy-to-maintain, reliable long-term investment strategy. This approach is also extremely boring and slow. There are no home run investments to brag about and no exciting trading stories to tell. Plus, you will have to listen to friends, family, and associates boast about how this or that investment made money for them and why your strategy is not relevant in today's market environment.

Investment performance is not about what happened last week, last month, or last year. It is about what happens over a lifetime. You will have the best performance and the last word with an asset allocation strategy. Chances are that people will be coming to you for investment advice over the long term. The funny part about those future conversations will be when other people admit that they had no idea what they were doing, and you just smile.

Money is not a game. Investing for the rest of your life and the lives of your loved ones is serious business. The asset allocation strategy outlined in this book may not be a glamorous solution, but it does work. Learn the basics, create a viable investment policy, implement your plan, diligently follow the plan, and grind out investment gains as they come. With this no-nonsense, businesslike portfolio approach, you have the highest probability of reaching your financial long-term goals. Sometimes boring is good.